

ORDINANCE NO. 2025-__

AN INITIATED ORDINANCE OF THE PEOPLE OF THE TOWN OF PAONIA, COLORADO, ESTABLISHING RULES FOR RESIDENT-OCCUPIED SHORT-TERM RENTALS, GRANDFATHERING CERTAIN INVESTOR SHORT-TERM RENTALS, PROHIBITING NEW INVESTOR SHORT-TERM RENTALS, AND PROVIDING FOR ENFORCEMENT, PENALTIES, AND REVIEW.

WHEREAS, the Town of Paonia is a statutory municipality organized under C.R.S. § 31-1-203; and WHEREAS, C.R.S. §§ 31-15-101, 31-15-401, 31-15-501, and 31-23-301 grant statutory municipalities corporate, police-power, business-licensing, and land-use authority; and

WHEREAS, Chapter 6 of the Paonia Municipal Code regulates business licenses, and Chapter 16 regulates zoning; and

WHEREAS, the People of Paonia find that investor-operated short-term rentals have reduced the supply of long-term housing and altered the character of single-family neighborhoods; and

WHEREAS, the People further find that resident homeowners should be free to rent rooms or their dwellings on a short-term basis without fees or permits when they occupy the property as a principal residence; and

WHEREAS, on April 1, 2025 the voters repealed Ordinance 2024-05, thereby re-instating a pre-existing prohibition on rentals of fewer than thirty (30) consecutive days; and

WHEREAS, the People desire to replace that blanket prohibition with a balanced framework that (i) legalizes resident-occupied short-term rentals town-wide, (ii) phases out investor-operated short-term rentals in single-family dwellings, (iii) preserves existing investor rentals in multi-family or mixed-use properties, and (iv) relies on complaint-based enforcement funded by existing sales-tax revenue;

NOW, THEREFORE, BE IT ORDAINED BY THE PEOPLE OF THE TOWN OF PAONIA, COLORADO, that the Paonia Municipal Code is amended by enacting Chapter 6.06 — “Short-Term Rentals,” to read in full as follows:

SECTION 1. TITLE.

This initiated ordinance shall be known and cited as the “Resident-Occupied & Grandfathered Short-Term Rental Ordinance.”

SECTION 2. CODE ADOPTION AND NUMBERING

The Paonia Municipal Code is amended by enacting Chapter 6.06 – Short-Term Rentals, to read in its entirety as set forth herein. The Town Clerk is authorized to renumber, re-format, and make non-substantive edits as necessary for codification and consistency with existing Code titles.

CHAPTER 6.06 – SHORT-TERM RENTALS

6.06.010 Definitions

For the purposes of this Chapter:

A. **Short-Term Rental (STR)** means the leasing of a dwelling unit, or any portion thereof, for a period of fewer than thirty (30) consecutive days.

B. **Principal Residence** means the place a natural person lives for at least one-hundred-eighty-three (183) days within any rolling twelve-month period, excluding any nights during which the dwelling is occupied by Short-Term Rental guests while the Owner or Long-Term Tenant is absent. Verified periods of involuntary absence due to active-duty military service, bona fide medical treatment, or other hardship approved in writing by the Town Clerk shall count toward the 183-day threshold.

C. **Resident-Occupied STR (ROSTR)** means an STR occurring on a lot that contains the Owner’s or Long-Term Tenant’s Principal Residence.

D. **Investor STR (ISTR)** means any STR that is not a ROSTR.

E. **Grandfathered ISTR** means an ISTR that (i) accepted at least one paid STR booking prior to the Effective Date of this Ordinance and (ii) files a Grandfather Registration pursuant to § 6.06.040.

F. **Owner** means the natural person(s) holding title to the property.

G. **Long-Term Tenant** means a person who occupies a dwelling unit pursuant to a rental agreement for a term of at least six (6) consecutive months.

H. **Single-Family Dwelling** has the meaning set forth in the Paonia Land Use Code.

6.06.020 Permitted Use – Resident-Occupied STRs

- A. ROSTRs are permitted by right in every zoning district. No Special-Use Review or other discretionary land-use approval is required for a Resident-Occupied STR.
- B. Use of a Common-Interest Guest Unit by a subdivision or HOA homeowner—or their invited guests—is permitted by right and is not considered a Short-Term Rental under this Chapter.
- C. No license, fee, or ongoing registry is required for a ROSTR.
- D. The Owner or Long-Term Tenant shall retain electronic or physical records sufficient to demonstrate Principal Residence status, including but not limited to PDF utility bills, screenshots of DMV or voter registration, state tax documents, or other government correspondence. A Long-Term Tenant may alternatively provide a signed lease agreement and utility bill in the tenant’s name to establish Principal Residence status, and shall produce such records within thirty (30) days of a written Request for Proof issued under § 6.06.060.
- E. The Owner may rent the entire dwelling during periods of absence; provided that the Owner continues to satisfy the 183-day Principal Residence requirement within the same twelve-month period.

6.06.030 Prohibitions – New Investor STRs

- A. Commencing on the Effective Date, it shall be unlawful to establish or operate any new ISTR in the Town of Paonia.

6.06.040 Grandfather Registration of Existing Investor STRs

- A. **Registration Window.** An ISTR operating prior to the Effective Date may become a Grandfathered ISTR by filing a Grandfather Registration with the Town Clerk within ninety (90) calendar days after the Effective Date.
- B. **Contents of Registration.** The registration shall be on a Town-supplied form, require no fee, and include:
 - 1. Name and mailing address of the Owner;
 - 2. Street address of the STR unit;
 - 3. Evidence of at least one paid STR booking prior to the Effective Date (e.g., platform screenshot or booking receipt);
 - 4. Evidence of state, county, or Town sales or lodging tax remitted for at least one such booking; and

5. For Single-Family Dwellings, acknowledgment that ISTR use must cease on 30 June 2026 unless converted to a ROSTR.

C. Duration of Grandfathered Status.

1. *Non-Single-Family Dwellings.* A Grandfathered ISTR located in a duplex, multifamily, mixed-use, commercial structure, or accessory dwelling unit may continue STR operations indefinitely, subject to compliance with this Chapter.
2. *Single-Family Dwellings.* A Grandfathered ISTR located in a Single-Family Dwelling may continue STR operations only until 30 June 2026. Thereafter, ISTR use of a Single-Family Dwelling is prohibited unless the dwelling qualifies as a ROSTR.

D. Non-Transferability. Grandfathered status is personal to the Owner who files the Grandfather Registration. The status does not run with the land and shall automatically terminate upon any conveyance, transfer, or sale—whether by deed, membership-interest assignment, trust conveyance, or other mechanism—that results in a change of controlling ownership, including transfers to or from a limited liability company, corporation, partnership, or trust in which the registering Owner does not retain a controlling interest. A successor owner must either (i) qualify for Resident-Occupied STR status under § 6.06.020 or (ii) cease STR operations.

6.06.050 Prohibitions After Sunset Date

- A. Beginning 1 June 2026, any STR use of a Single-Family Dwelling that is not a ROSTR shall be unlawful.
- B. If § 6.06.050(A) is adjudged invalid, Single-Family Dwellings may operate only as ROSTRs unless otherwise authorized by subsequent ordinance or vote.

6.06.060 Proof-on-Demand Procedure

A. **Complaint Trigger.** Upon written complaint alleging a violation of this Chapter, the Clerk may issue a Request for Proof to the Owner.

B. Required Proof.

1. *ROSTR:* Two forms of documentation demonstrating Principal Residence (e.g., Colorado driver's license, voter registration, state income-tax return, utility bills).
2. *Grandfathered ISTR:* A copy of the filed Grandfather Registration.

C. **Response Deadline.** Proof shall be provided within thirty (30) calendar days of the Request.

D. Failure to timely provide proof constitutes a violation of this Chapter.

6.06.070 Enforcement and Penalties

A. **Civil Penalty.** Any person who violates this Chapter shall be subject to a civil penalty of not more than three hundred dollars (\$300) per day for each day the violation continues.

B. **Misdemeanor.** A second or subsequent violation within any twelve-month period is a Class 2 municipal misdemeanor, punishable as provided in § 1-4-20 of the Town Code.

C. **Lien.** Unpaid civil penalties may be certified as a lien against the property as provided by law.

D. **Administrative Appeal.** An Owner assessed a civil penalty under this Section may file a written appeal with the Municipal Court within thirty (30) days of the date of the Notice of Violation. The penalty is stayed during the pendency of the appeal. The Court shall conduct a de novo hearing and may affirm, modify, or vacate the penalty.

6.06.080 Mandatory Review and Amendment Limitations

A. The Board shall conduct a public review of this Chapter no later than May 31, 2027.

B. Any amendment that would: (i) re-impose license fees, (ii) create an ongoing registry for ROSTRs, or (iii) extend the sunset for Single-Family Dwelling ISTRs beyond 30 June 2026 shall require approval by a majority of Paonia voters at a regular or special election.

6.06.090 Severability

If any section, subsection, clause, or phrase of this Chapter is held invalid, such decision shall not affect the validity of the remaining portions of this Chapter.

6.06.100 Effective Date

This Ordinance shall take effect thirty (30) days after the date the vote is certified by the Town Clerk (the “Effective Date”).

SECTION 3. SEVERABILITY (Entire Ordinance)

The provisions of this Ordinance are severable. If any provision or its application is adjudged invalid, such judgment shall not affect the validity of the remainder.

SECTION 4. EFFECTIVE DATE

Adopted by the Board of Trustees this ____ day of _____ 2025. This Ordinance shall be in full force and effect thirty (30) days after certification of the election results.

INTRODUCED, READ, AND REFERRED FOR PUBLICATION on first reading this ____ day of _____ 2025.

ADOPTED on second and final reading by the Board of Trustees of the Town of Paonia, Colorado, this ____ day of _____ 2025.

Mayor

ATTEST:

Town Clerk